INTRODUCTION

Corporations are complex structures with stakeholders beyond owners, lenders, and managers. Corporate governance involves the creation and maintenance of a system of checks, balances, and incentives that addresses conflicting interests among these stakeholders. In this Learning Module, we first identify key aspects of the relationships between these parties and the potential conflicts that may arise. In the second lesson, we turn to the various mechanisms established to manage these conflicts, settle disputes, and mitigate risk. Finally, we highlight the benefits of strong corporate governance and stakeholder management policies as well as the risks of weak policies and their potential impact on corporate performance.

Category
Corporate Governance: Conflicts, Mechanisms, Risks, and Benefits

Learning Module Overview

- A principal-agent relationship is created when one party (a principal) hires another party (an agent) to perform a task or service. The relationship can exist with or without a contract. The agent is expected to act in the principal's best interest.
- In many cases, the agent possesses more information than the principal, and conflicts arise where the interests of the principal and the agent diverge. In a corporation, shareholders are a principal and elect directors (an agent), who appoint managers (another agent), who are charged with maximizing shareholder value.
- Given the complex ecosystem of stakeholders in a corporation, the rights, responsibilities, and powers of each stakeholder must be considered when establishing an appropriate governance structure by striking a balance among the interests of these groups while meeting corporate objectives.
- A sound governance structure consists of mechanisms to ensure adherence to rules and regulations imposed by external authorities as well as to meet the unique requirements of internal stakeholders. These mechanisms include financial reporting, general and extraordinary meetings, compensation, debt covenants, and more.
- Weak corporate governance, unmanaged conflicts of interest, or inadequate stakeholder management can place firms at a competitive disadvantage. Strong governance practices and a proper balance among stakeholders' interests are often reflected in increased competitiveness and operational efficiency, better control processes, and improved performance.

Learning Module Self-Assessment

1. These initial questions are intended to help you gauge your current level of understanding of this learning module.

   The following statements relate to the ecosystem of stakeholders in a corporation. Complete each statement by selecting one of the following: agent, principal, contractual, principal-agent, employer-employee

   In a corporation, the board of directors is elected to act as a(n _____.

   In a corporation, shareholders are a(n) _____.

Hide Solution

Solution:

In a corporation, the board of directors is elected to act as an agent.

In a corporation, shareholders are a principal.

Customers have a contractual relationship with a corporate issuer.

2. Conflicts arise where the interests of a principal and an agent diverge, resulting in agency costs. Identify and explain an example of an agency cost for a corporate issuer.

Hide Solution

Solution:

An example of an agency cost for public companies is the cost of hiring an external independent auditor for the financial statements and internal controls. Audit fees are paid by the issuer, a cost borne by the shareholders, to mitigate the risk that financial reports are materially misstated or deviate from generally accepted accounting principles.

3. Match the mechanism to manage relationships or settle disputes with the applicable stakeholder

1. Shareholders	A. Ad hoc committee
2. Creditors	B. Proxy contest
3. Management	C. – Stock-based compensation

Hide Solution

Solution:

1. B is correct. Proxy contests are one mechanism for shareholders to pursue changes in corporate control.

2. A is correct. When a company is struggling to meet its debt obligations, an ad hoc committee may be formed by a group of bondholders to approach the company with potential options to restructure their bonds.

3. C is correct. Stock-based compensation seeks to align the interests of management and shareholders.

4. A(n) _____ may be called when requested by a specific minimum number of calling shareholders, as detailed in the company's bylaws or charter.

Hide Solution

Solution:

An extraordinary general meeting (EGM) may be called when requested by a specific minimum number of calling shareholders, as detailed in the company's bylaws or charter.

5. Studies have shown that improvements in corporate governance practices _____ (increase/decrease) the likelihood of a credit rating _____ (upgrade/downgrade), which tends to _____ (increase/decrease) the cost of debt.

Hide Solution

Solution:

cost of debt.

6. What types of questions should analysts consider about a company's corporate governance and stakeholder management?

Hide Solution

Solution:

Key questions analysts should consider about a company's corporate governance and stakeholder management include the following:

- What is the company's ownership and voting structure?
- How well do board members' skills and experience match the current and future needs of the company?
- How closely does the management team's compensation and incentive structure align with factors expected to drive overall company results?
- Who are the significant investors in the company?
- How strong are company shareholder rights versus its peers?
- How effective has management been in taking a long-term perspective on risks and sustainability?

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